

LOLC Islamic Banking — FAQ

Frequently Asked Questions for Customers

What is Islamic banking?

Islamic banking is a way of banking that follows Shari'ah (Islamic law) principles. It avoids interest (riba) and excessive uncertainty (gharar), and instead structures financing around real assets and shared risk between the bank and the customer.

Why did LOLC set up an Islamic Business Unit?

LOLC created a dedicated Islamic unit so that customers who cannot use interest-based products for religious reasons still have access to financing for property, vehicles, trade and savings, through Shari'ah-compliant structures.

What products are typically offered?

Common offerings include Mudarabah (profit-sharing savings/investment), Ijarah (leasing), Murabaha (trade/cost-plus financing) and Diminishing Musharakah (property or project financing with gradually transferring ownership).

How is a return on a Mudarabah savings account calculated?

Instead of a fixed interest rate, the bank invests pooled depositor funds and shares the resulting profit with depositors according to a pre-agreed ratio. Because it depends on actual earnings, the rate of return can vary period to period.

How does Murabaha financing differ from a conventional loan?

In Murabaha, the bank purchases the actual asset the customer needs and resells it to the customer at a transparent, fixed mark-up, repayable in instalments. There is no accruing interest — the profit margin is agreed and disclosed up front.

Who checks that products are Shari'ah-compliant?

A Shari'ah Supervisory Board made up of qualified Islamic scholars reviews and approves Islamic banking products before they are launched, and continues to oversee compliance.

Is Islamic banking only for Muslim customers?

No. While it is designed to meet the needs of customers who require Shari'ah-compliant finance, the ethical, asset-backed and risk-sharing structure is generally open to any customer who prefers this model.

How is Islamic banking regulated?

In markets such as Pakistan, the central bank maintains a dedicated Islamic finance department and Shari'ah advisory committee that license Islamic banking operations, approve compliant instruments and issue guidelines on modes of financing.

Where can I get exact rates, fees and eligibility details for LOLC's current products?

Because product terms and availability can change and vary by country, please check LOLC's official Islamic Banking page or speak with an LOLC representative directly for up-to-date, binding terms.

Note: This FAQ is a general, independently compiled educational resource based on publicly available information about Islamic banking and LOLC's Islamic finance offerings. It is not an official LOLC publication and should not be relied upon as financial or religious advice.